

companies, an investor can rely on both words and actions; in public companies, more weight must be placed on deeds.

Another crucial factor in determining the attractiveness of a company is its ability to allocate capital intelligently. Funds generated from operations can be plowed back into the business, invested in other ventures, or returned to shareholders. Enterprises that deploy cash well create value for owners, while those that do it poorly destroy wealth. With public companies, it can be hard to know if their investments are thoughtful, or whether management is engaged in empire building at the expense of shareholders. An investor who has insights into whether a company is making sound decisions may be able to peer into the future with greater clarity than the market can. Owning private car dealerships opened our eyes to opportunities in the auto-retailing industry that dramatically increased the value of Prime Motor Group. Later, this knowledge gave us the confidence to make commitments to two public companies, Lithia and Asbury.

We learned a lot about the acquisition market for car dealers during the time we owned Prime Motor Group. For example, most transactions in the industry require approval from the manufacturer, so it's necessary to have a successful track record and a good reputation to obtain that consent. This requirement limits the number of buyers. In addition, some sellers transact without an intermediary. Thus personal relationships can yield opportunities to acquire dealerships at attractive prices. Finally, there can be ways to profitably invest in a seemingly mature business. One day David told us that Mercedes-Benz had been embroiled in a dispute with a dealership on Cape Cod that had devolved into litigation, but the parties were now ready to settle. To resolve the situation, Mercedes wanted Prime Motor Group to buy the small Cape Cod franchise, which didn't have much upside and wouldn't have been interesting in and of itself. As part of the deal, however, Prime Motor